

An Aave innovation (and as of this writing available only on Aave) is a stable rate loan. (Using the label *stable* intentionally avoids calling it *fixed rate*.) A borrower has the option to switch between the variable rate and the current stable rate. The supply rate is always variable because under certain circumstances, such as if all borrowers left the market, it would be impossible to fund a fixed supply rate. The suppliers always collectively earn the sum of the stable and variable borrow interest payments minus any fees to the platform.

The stable rate is not a fixed rate because the rate is adjustable in extreme liquidity crunches and can be refinanced to a lower rate if market conditions allow. Also, some constraints exist around how much liquidity can be removed at a specific stable rate. Algorithmic stable borrowing rates provide value to risk-averse investors who wish to take on leverage without the uncertainty of a variable-rate position.

Aave is developing a *credit delegation* feature in which users can allocate collateral to potential borrowers who can use it to borrow a desired asset. Unsecured and reliant on trust, this process allows for uncollateralized loan relationships, such as in traditional finance, and potentially opens the floodgates in terms of sourcing liquidity. The credit delegation agreements will likely have fees and credit scores to compensate for the risk of unsecured loans. Ultimately, the delegator has sole discretion to determine who is an eligible